



80 |

For nearly 26 years since it took to the skies, Jet Airways was represented by its blue and yellow ‘Flying Sun’ logo, which denoted both its professionalism and its warmth. But the airline that was first eclipsed by its collapse in April 2019, is now overshadowed by the uncertainty surrounding its revival. And each time an airline goes bust, one is reminded of the words of legendary U.S. Army General Douglas MacArthur, “I shall return!” which he told his troops and the people of the Philippines in March 1942, after fleeing the island nation following its occupation by Imperial Japan during World War II.

But alas, that has seldom happened in the aviation industry, as even once celebrated carriers such as Pan Am, Air Berlin, Swiss Airlines and Kingfisher Airlines, among others, have never returned from the dead. The dog-eat-dog nature of the industry simply doesn’t allow for it.

However, when the Jalan-Kalrock consortium (JKC) won the bid for Jet Airways’ revival in October 2020, one hoped that

the airline would beat the odds and be airborne soon. But what was supposed to be a major test of the country’s Insolvency and Bankruptcy Code (IBC), 2016, soon devolved into a bitter legal battle between the consortium and the Committee of Creditors (CoC) that had lent to the airline. But the Supreme Court’s July order to implement a resolution plan excluding liquidation has brought new hope for the beleaguered project. A person familiar with the ongoing internal deliberations at JKC reveals, “The consortium’s strategy to revive the airline remains unaltered. Armed with a management team, the focus remains on getting all the employees and the relevant stakeholders aligned with the vision of the new promoters to get the operations up and running.”

In the first sign of a thaw between the disputing parties, the CoC has agreed to a month’s extension for the full payment of ₹350 crore after the consortium deposited ₹100 crore with the lenders on August 31. Earlier, the entire payment had to be made by that date per a timeline provided by the apex arbiter National Company Law Appellate Tribunal (NCLAT) before its ownership could be transferred to JKC. This is in addition to the ₹150-crore performance bank guarantee already provided to the lenders. “With this infusion, JKC has now invested ₹250 crore in Jet Airways and now is only required to fund the remaining ₹100 crore in Jet Airways by September 30, 2023, to take control of the iconic airline,” a statement from JKC said. It also claims to have incurred up to ₹300 crore in other costs since winning the bid to revive the airline.

However, taking control of the airline is not the only hurdle before JKC. Another equally challenging concern is the payment of employee dues. Recently, the Supreme Court upheld the NCLAT’s order asking the airline to pay ₹250 crore in outstanding provident fund and gratuity to former employees. “The consortium respects the order passed by the Supreme Court, though it is an extra financial liability since the amount was never a part of the revival plan. However, the consortium is



“We don’t fly passengers... our airline partners fly passengers; we can only be successful when our customers are successful”

SALIL GUPTA
PRESIDENT, BOEING INDIA